

The Market-Reading Cheat Sheet

Four drivers. Four free sources. Green / yellow / red thresholds — plus a 2026 cross-market snapshot.

THE FOUR DRIVERS

Free, authoritative, public.

1 · Wages

the ceiling on what tenants can pay

SOURCE	BLS QCEW (bls.gov/cew) + Census ACS
READ	Metro median weekly wage; 5-yr growth; metro-vs-submarket spread
GREEN	5-yr real growth > +1.5% vs. national
YELLOW	+0.5 to +1.5% real
RED	< 0% or single-industry-dependent

2 · Jobs

count AND wage-tier composition

SOURCE	BLS LAUS + CES (bls.gov/lau · bls.gov/ces)
READ	Total non-farm employment + sector composition. Pull breakdown.
GREEN	> +1.5% annual, diversified
YELLOW	+0.5 to +1.5%
RED	< 0% or one sector > 25% of growth

3 · Households

formation, not just population

SOURCE	Census ACS + state demographer offices
READ	Net new households; type composition; migration patterns
GREEN	> +1.0% annual
YELLOW	+0.3 to +1.0%
RED	< 0% (net out-migration)

4 · Supply

the governor on demand

SOURCE	Apartment List + CBRE quarterlies + permit data
READ	Deliveries / stock (24-mo); 24-mo forward pipeline
GREEN	< 2% of stock
YELLOW	2 to 4% of stock
RED	> 4% of stock

2026 CROSS-MARKET SNAPSHOT

Same framework, four market types, different reads — as of 2026.

Market type · 2026	Wages	Jobs	Households	Supply (24-mo)	Composite read
Sun Belt secondaries Phoenix · Austin · Nashville · Tampa · Charlotte · Atlanta	YELLOW	YELLOW	YELLOW	RED · 4-7%	Supply-driven softening concessions returning
Mid-Atlantic + Midwest reshoring Columbus · Indianapolis · Kansas City · Cincinnati	GREEN	GREEN	YELLOW	GREEN · 1.5-2.5%	Thin pipeline meets healthy demand stack
Coastal gateway metros NYC · SF · LA · Boston	MIXED	MIXED	YELLOW	GREEN · constrained	Rate-sensitive cap dynamics dominate fundamentals
Mountain West (variable) Salt Lake · Denver · Boise · Reno	MIXED	MIXED	YELLOW	MIXED · 2-5%	Read metro by metro not as a region

How to use this sheet. The thresholds are orientation ranges, not absolutes. The 2026 snapshot is a worked example of the framework against current data — not a recommendation. To find the right market for your capital, run the framework yourself once a quarter on free public sources. The framework holds across cycles. The data inside it moves.

Next: Module 5 walks through the five numbers that explain almost any multifamily deal — NOI, cap rate, DSCR, cash-on-cash, IRR. The market read from this module plus the deal-math literacy from the next one is the operator-credible base.